

The asset owner should not be surprised that, according to Smith, the agent (Goldman) took advantage of principals (clients). That's simply what the agent does. The principal's first job is to wake up to this fact; common sense tells us self-interest is paramount, and therefore agents often do not look out for the principal. Then the principal should use agency theory to minimize the ways in which the agent can take advantage of her and in fact use the agent's motives to the principal's advantage.